

shows some clear concentration. India's most concentrated sector is food and beverages, largely due to vegetable oils, which account for about 80% of its imports in this sector. India depends on these imports to meet domestic demand. The country is the world's largest importer of vegetable oils with significant imports of palm oil, 90% of which is supplied by Indonesia and Malaysia, and sunflower oil, 75% of which came from Ukraine. These concentrations were thrown into the spotlight after Indonesia banned palm oil exports and the war impeded Ukrainian sunflower oil exports.

Another sector in which India's trade is concentrated with just one or two suppliers is mining. India is the world's largest importer and exporter of diamonds, and diamonds account for two-thirds of its mining imports by value. Between 2016 and 2021, the import concentration of unworked diamonds increased significantly. This was driven by increasingly close trading ties with Belgium and the United Arab Emirates. In 2021, India received about 80% of its supply of unworked diamonds from these two economies. This has driven an increase in concentration of India's mining imports.

### PLAYING TO INDIA'S STRENGTHS

However, not every trade concentration is a source of vulnerability. If a country has reliable in-country production of the same product,

it does need to compete with the global suppliers. When it does not, concentrated trade can provide access to technologically advanced inputs, which in turn become a source of competitive advantage. Economies need to take informed decisions to increase benefits and reduce risks associated with each trade design.

This careful calibration requires countries to map the

take a scenario-based approach to stress test its trade relationships and prioritise plans of action. Scenario analysis helps identify correlated risks that might unfold in parallel.

Indeed, some concentrated trade relationships may create levels of risk beyond the appetite of the businesses and policymakers. If rapidly changing policies restrict trade flows between

countries, it may make sense to change suppliers or buyers while pursuing new domestic sources of production.

India is on a positive trajectory. Recent McKinsey analysis shows India is trading across the geopolitical spectrum, and with broad relationships built across Asia, Europe, and the US. The country has also seen increased green-field investment inflows in the past two years.

Trade concentrations exist, and they are both a



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source of strength and worry. Having a clear-eyed view of trade concentrations and gaps will help businesses and policymakers find effective strategies that reimagine, rather than retreat, from global trade. **BT**

Economies like India should

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